

Comprehensive Analytical Report: Connect-NG Q1 2024 Operations

Prepared For: Connect-NG Executive & Strategy Team

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Domain: Telecommunications / Operational Analytics

1. Executive Summary

Connect-NG, a Nigerian Internet Service Provider, experienced mixed operational performance in Q1 2024. While the company successfully generated ₦5M in gross base revenue across 120 active accounts, the quarter revealed critical stress points in customer retention and operational friction.

Our analysis indicates an overall churn rate of 10%, heavily concentrated in the North-West region (24%) and among Fiber-Home subscribers. Furthermore, almost 18% of all data consumed was classified as "overage," predominantly driven by Basic and Premium users, suggesting a mismatch between current subscriber plans and actual user needs. This report outlines these findings and provides strategic recommendations for pricing optimization, infrastructure focus, and retention workflows.

2. Methodology and Data Integrity

The insights generated are derived from a synthesized dataset covering Q1 2024 operations. To ensure analytical accuracy, a rigorous ETL (Extract, Transform, Load) process was executed.

Data Cleaning (Excel):

- Standardized text formatting (PROPER case for names and regions).
- Resolved missing regional data by triangulating against provided State-level data.
- Formatted constraints (7-character Customer IDs, 10-character Transaction IDs) and sanitized contact information.
- Eliminated duplicate records that would have skewed financial reporting.

Data Modeling (Power BI):

- Built a robust Star Schema connecting Fact data (Billing_Usage) to Dimension data (Customers, Plans).
- Engineered DAX calculated columns to dynamically evaluate unbilled revenue (DataOveruse_GB, Overcharge_Amount) and total localized revenue based on specific subscription tier terms.

3. Detailed Analysis & Key Findings

3.1 Overall Operations & Subscriptions

- **Total Volume:** The business processed 229 transactions across 120 unique customers, accounting for 16,200 GB of total data transferred.
- **Plan Popularity vs. Profitability:** The "Unlimited" plan is the most widely held, but the "Premium" plan drives the highest transaction velocity (24.89% of all transactions). Meanwhile, the "Enterprise" tier stands as the highest revenue-generating asset per capita.
- **Regional Footprint:** The North-Central region holds the highest concentration of customers (28%), but the South-West region consumes the most aggregate data (>4,000 GB).

3.2 Revenue, Usage, and Overage Behaviors

- **Top Performing States:** Gross plan revenue (₦5M) is highly concentrated in urban hubs, with Abuja, Rivers, and Plateau generating the highest localized returns.
- **The Overage Opportunity:** Data overuse is remarkably high. Users consumed 2,830 GB over their allotted limits (an overuse rate of 17.48%), averaging 41.6 GB of overage per person.
- **Overage Demographics:** An astonishing ~95% of all overages belong to just two tiers: Premium (47.75%) and Basic (46.99%). This indicates that these users are chronically outgrowing their data caps.
- **Payment Channels:** Card transfers dominate (37.9%), but physical Cash (22.7%) remains a substantial channel, highlighting a reliance on traditional collection methods that may delay cash flow.

3.3 Customer Friction, Support, and Churn

- **Service Complaints:** The business faces a high complaint rate of 29.3% (67 logged tickets against 229 transactions). This suggests nearly 1 in 3 billing cycles results in a customer support event.
- **Payment Failures:** 18 transactions failed outright (7.8%), and 46 payments were classified as "Late" (20%), pointing to inefficiencies in automated billing or payment gateway reliability.
- **Churn Hotspots:**
 - **By Region:** The North-West region has a catastrophic churn rate of 24%, nearly 2.5x the national average. Interestingly, this region also has the lowest average data usage (61 GB), suggesting customers are leaving due to poor service quality/connectivity rather than hitting data caps.
 - **By Plan:** The "Fiber-Home" tier exhibits the highest product churn (12%), which is concerning given fiber's typical association with high reliability.

4. Strategic Recommendations

Based on the data, Connect-NG leadership should prioritize the following initiatives:

1. **Aggressive Upselling Campaigns (Revenue Optimization):**
 - *Insight:* Basic and Premium users are constantly paying overage penalties.
 - *Action:* Launch targeted marketing campaigns offering Basic users a discounted first-month upgrade to Premium, and Premium users an upgrade to Unlimited. Framing this as "saving money on overage fees" will improve customer satisfaction while moving them to a higher, more stable recurring revenue tier.
2. **Investigate North-West Operations (Retention Strategy):**
 - *Insight:* 24% churn paired with the lowest average usage.
 - *Action:* Immediately dispatch technical teams to audit infrastructure in the North-West zone. The data heavily implies frequent outages or severe bandwidth throttling causing customers to abandon the service before utilizing their data.
3. **Review Fiber-Home Service Delivery (Product Strategy):**
 - *Insight:* 12% churn on a flagship product.
 - *Action:* Conduct exit interviews or surveys specifically targeting churned Fiber-Home customers. Determine if the churn is price-sensitivity driven or due to installation/hardware faults.
4. **Optimize Payment Gateways (Cash Flow Improvement):**
 - *Insight:* 20% late payments and nearly 8% failed payments.
 - *Action:* Implement proactive SMS/Email reminders 3 days before billing cycles. Investigate the primary payment gateways causing the 18 failed transactions to reduce involuntary churn. Incentivize the 22% of cash-paying customers to switch to Direct Debit/Cards with a small, one-time data bonus.

5. Conclusion

Q1 2024 demonstrates that Connect-NG has a solid user base and strong demand, evidenced by high data consumption and consistent base revenue. However, the business is currently leaking value through operational inefficiencies (high support tickets, failed payments) and localized service issues (North-West churn). By addressing these friction points and proactively migrating heavy users to higher-tier plans, Connect-NG is well-positioned to maximize ARPU (Average Revenue Per User) and stabilize growth in Q2.